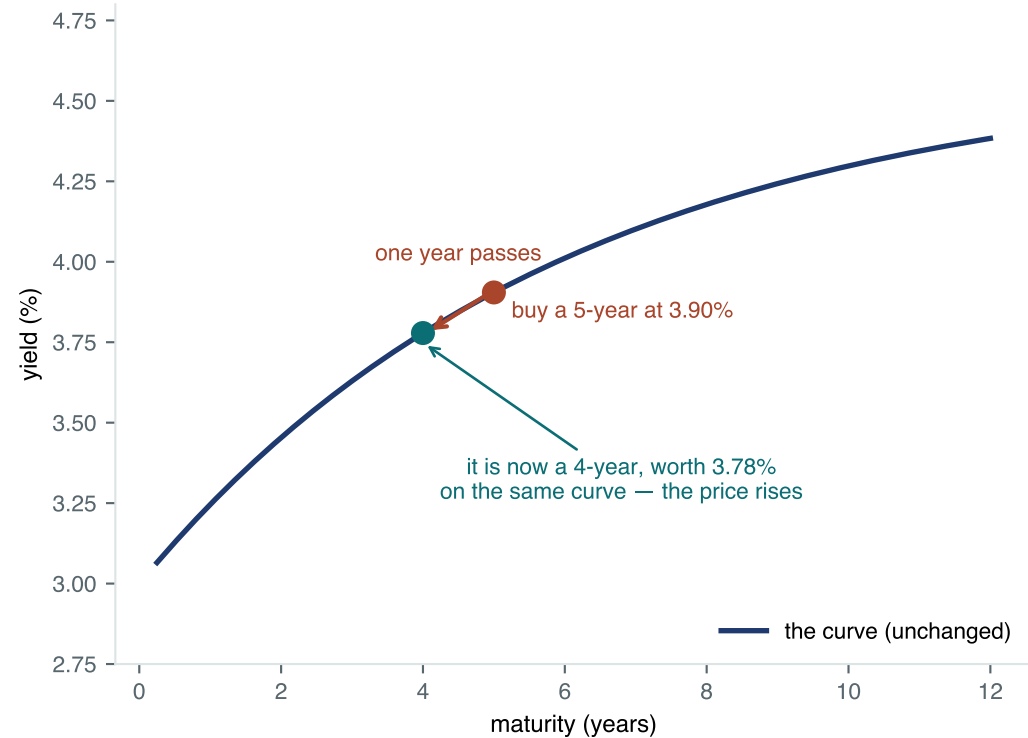
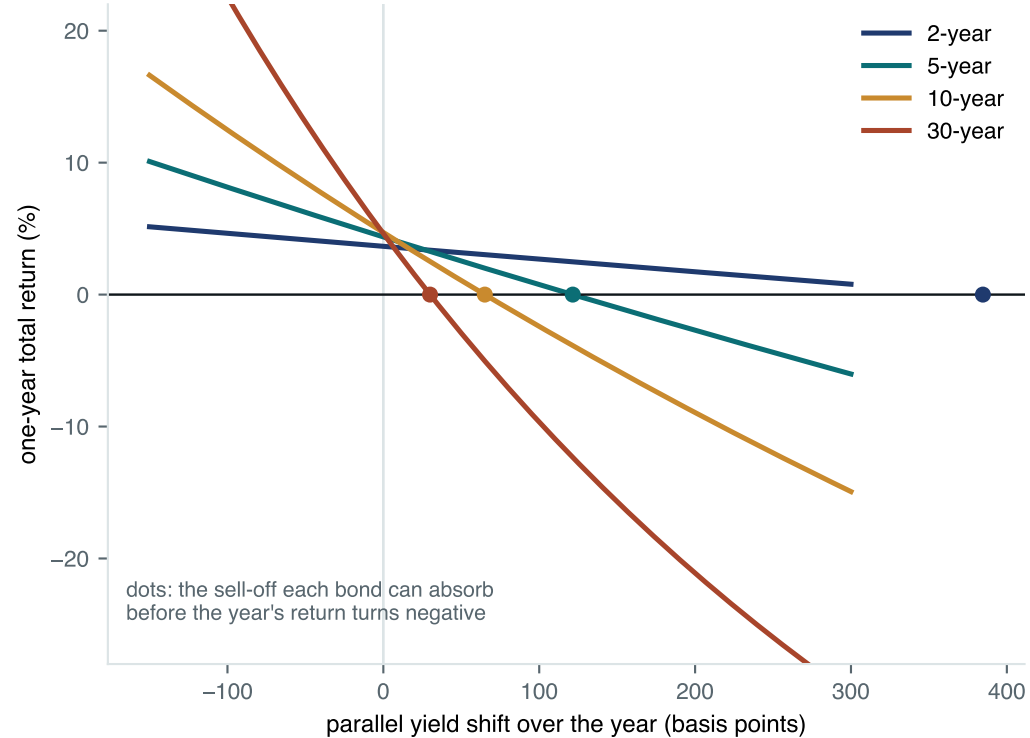


Roll-down: the bond moves, the curve does not



The cushion, and how fast it runs out



Carry and roll-down are the return you get for doing nothing, and they are known the day you buy. Duration converts a yield move into a price move. A long bond has more yield and far less protection: its cushion is measured in weeks of patience.